

ly due to concerns over depositor protection and risk of lending against market-linked, volatile assets such as shares. That is changing.

While the decision to open up the sector further will support corporate expansion and ensure efficient capital allocation, it will also introduce new layers of risk on bank balance sheets, say some experts.

Akshay Gupta, Director, Prime Securities, defends the decision by quoting the guidelines where 70% of transaction value, 20% of Tier-I capi-

tal and 3:1 debt equity ratio post-acquisition limit risk significantly.

“Foreign commercial banks and investment banks were anyway leading the acquisition financing business through their NBFCs or FPI (foreign portfolio investment) vehicles. For Indian banks, this will be similar to internal controls on sectoral lending. Most banks will have underwriting controls besides the RBI-defined macro control measures,” he says.

Samir Sheth, Managing Partner, Deal Advisory, BDO India, counters this by saying the inherent economic risk of the transaction does not get eliminated. “The policy converts part of the market-borne risk into bank credit risk,” he says.

Historically, M&As in India have been financed through equity, private credit or structured financing. The lenders accept market pricing, rapid mark-to-market and liquidity risk. “When banks fund acquisitions, they absorb that risk on their balance sheets. In good times, this is attractive (higher interest and fee income on this new alternative lending avenue), but during periods of stress, banks may face credit losses,” says Sheth.

“In recent years, Indian banks have been in a much better shape, but a concentrated portfolio of underperforming acquisition loans could eat into Tier-1 capital quickly if multiple large deals fail together,” says Sheth.

The RBI has also withdrawn a decade-old, banking system-wide cap on aggregate lending to very large corporate borrowers. The cap was introduced when the banking system was grappling with high stress levels. The situation is drastically different now. “The Tier-1 capital of scheduled commercial banks has increased 3.2 times from about ₹8 lakh crore in 2016 to more than ₹26 lakh crore over the last ten years. At the same time, the share of banks’ exposure to corporates has reduced significantly,” RBI Governor Sanjay Malhotra said recently.

However, the Large Exposure Framework—which limits how much an individual bank can lend to a single borrower—remains unchanged, capping exposure at 20% of Tier-1 capital for a single borrower and 25% for a borrower group.

RISK MANAGEMENT

The RBI has also asked all major banks to follow the ECL framework from April 1, 2027. What does this mean? Today, banks wait for a loan to go bad before they set aside funds for the loss. But under ECL, they have to estimate in advance how many loans might go bad in the future and make provisions accordingly. This makes banks

THE BALANCE SHEET BEHIND INDIA'S GROWTH

● The country's banking system is almost as large as India's economy in terms of assets

PARAMETERS	2024-25
Assets	312
Deposits	241
Loans & Advances	191
Gross NPAs	4.31
Net Profit	4.01

(₹LAKH CRORE)

MIXED PERFORMANCE

● Margins dip a bit but return on assets rises

PARAMETER	2024-25	2023-24
ROA	1.4%	1.3%
ROE	13.5%	13.6%
NIM	3.1%	3.3%
Capital Adequacy	17.4%	16.9%
Net NPAs	0.5%	0.6%

SOURCE RBI REPORT